

TRX pitch deck

PITCH — TRX — VERDICT

PROPOSED — PENDING ADJUDICATION — recommend **no position, no ladder, no resting orders** in TRX Gold Corp at \$1.21: both benches killed the thesis on the same arithmetic (the company reports 100% of a mine it owns 55% of), and the corrected price is ~11.5x attributable EBITDA and ~34x attributable earnings *at a record gold price*, not the 5–6x the original brief claimed.

What we believe

We believed, going in, that TRX was a screen-error trade: stock screeners showed it at about 13x earnings before interest, tax, depreciation and amortization (EBITDA), while the company's own press release showed \$66.8M of EBITDA over the last twelve months against a ~\$396M market value — roughly 6x. Buy the gap, wait for the screens to catch up.

After the adversarial review, **we believe the opposite of the brief that started this**. Specifically:

- 1. The gap is arithmetic, not opportunity.** TRX owns 55% of the Buckreef mine; the Tanzanian state mining company STAMICO owns 45%. Accounting rules make TRX report 100% of Buckreef's revenue and EBITDA, then subtract the partner's share further down. The headline \$66.8M EBITDA is the whole mine. TRX's share is roughly \$31–33M after also carrying 100% of head-office costs at the parent. Against an enterprise value of ~\$371M, that is ~**11.5x**, not 6x. The screen's 13.1x is wrong for a different reason (it adds the partner's book equity to enterprise value), but it lands within about 12% of the truth. There is no hidden cheap business.
- 2. The share of profit that actually reaches TRX shareholders is worse than 55%.** In the cleanest quarter available — Q3 FY26, after the warrants were gone and no derivative noise — consolidated net income was \$8,371k, of which **\$5,532k went to the 45% partner and \$2,839k to TRX shareholders**. The partner took 66% of the profit on a 45% stake, because all corporate overhead and exploration spending sits at the parent. Annualize the \$2,839k and TRX shareholders are earning ~\$11.4M a year on a \$396M company — **about 34x earnings, in a quarter where the company realized a record \$4,703 per ounce of gold**.
- 3. Free cash flow is negative and the tax bill has not started.** Nine months: operating cash flow \$20,493k, capital spending \$23,013k, **cash taxes paid \$0**. Free cash flow is roughly — \$2.5M. The gap between EBITDA and cash is not tax — it is a growing ore stockpile (\$9,088k → \$13,348k). Tanzania's 30% corporate tax is ahead of the run-rate, not behind it.
- 4. The expansion is real and is not funded.** Management is building a 3,500 tonne-per-day SAG mill circuit *plus* upgrading the existing 2,000 tpd plant — genuinely beyond the 3,000 tpd contemplated in last year's preliminary economic assessment. The warrants that funded the last \$19.6M are all exercised and gone. The disclosed bank facility is **\$5.0M with \$2.9M drawn** —

about \$2.1M undrawn, against a program the company has described (in a transcript, not in a filing) as \$45–50M. The funding for the growth story does not currently exist.

Primary source for the above, and the document we defer to over any transcript or secondary summary: [TRX Gold Q3 FY26 6-K, Exhibit 99.1 and financial statements](#).

What the market believes

The market is close to right, which is the uncomfortable part.

- **Price and history.** \$1.209 today. Down 56.8% from a \$2.80 52-week high, but **up 256% from a \$0.34 low**. The 26-week high is \$1.97. This is not a forgotten stock; it is a stock that already tripled and then gave half of it back.
 - **What the price implies.** \$396M market value, \$371M enterprise value, ~11.5x TRX's share of EBITDA, ~23x TRX's share of operating cash flow, ~34x TRX's share of earnings at record gold prices. That is a full-to-fair price for a growing single-asset producer — not a distressed one.
 - **The analysts.** Coverage is thin and the published targets disagree by venue: stockanalysis.com shows a \$2.36 average and a “Strong Buy”; MarketBeat shows **\$1.70 average across 2 analysts, range \$1.10–\$2.30**. Both are up from here, and both are essentially a gold-price call.
 - **The number the analysts actually underwrite.** FY26 earnings per share of **\$0.06 (Zacks) to \$0.08 (stockanalysis consensus)** — an *after-partner* figure. Our own bottom-up work lands at \$0.044 for nine months, annualizing to about \$0.06. **We land on the low end of the consensus range, with no mechanism to explain a gap.** When you and the street agree on the load-bearing number, you do not have a variant view.
-

Why we might have edge

Stated honestly — these are the residual candidates, and none of them is enough.

1. **The 66%-to-the-partner allocation is genuinely unpublished.** We could not find a source that applies the 45% partner interest to the multiple. The most-followed screen does the *opposite* — it adds the partner's equity to enterprise value, which inflates the multiple for the wrong reason and happens to land near the right answer. So the finding is real and differentiated. **But it is an edge that says “avoid,” not “buy.”** The trade it implies is a short, and a short is disqualified here (small-cap gold junior, momentum-prone, borrow unknown, and the thesis would be a bet against the gold price, which we have no view on).
2. **Thin coverage.** Two to four analysts. Genuinely under-followed names sometimes misprice. But under-followed cuts both ways, and here it has not produced a discount — it has produced a full price with a wide target range.
3. **The throughput is bigger than the study everyone values.** This is the one real upside asymmetry. The published preliminary economic assessment contemplates 3,000 tpd. The

company's own July release says 3,500 tpd SAG *plus* an upgraded 2,000 tpd plant, "well beyond" the study. Implied recovered grade in Q3 is about 1.26 g/t. At 5,500 tpd for 350 days, that is roughly **77,000 ounces a year, not the 60,000 the study implies**. If the expansion happens as described *and* is funded without dilution, the value at today's gold price is around \$1.71/share (+41%). **That is a real number and it is why this deck is a "no" rather than a "never."** It is also entirely unverified against a study document we have not seen, and it assumes free money.

Why it might be priced in

- The 55/45 joint venture is disclosed in every company presentation. The *fact* is consensus; only its application to the multiple is not.
 - Analyst EPS of \$0.06–\$0.08 already reflects the partner's share. The street is modelling the after-partner business correctly.
 - The expansion has been announced, with a letter of award and a 12–18 month timeline in the release. The market has had it since July 15.
 - The +256% move off the low says the gold-leverage story was bought, not missed.
 - The company's own summary of the last twelve months — \$46.4M of "investments at Buckreef" — is public and prominent. That the \$46.4M bundles \$19.3M of working-capital stockpile build with \$27.1M of actual capital assets is a presentation issue, not a secret.
 - **The upside case is a gold-price case.** At \$3,500/oz gold, the fully-funded, no-dilution version of this company is worth about \$1.13/share — *below today's price*. The funded prize only clears +50% above roughly \$4,700/oz. Financing was never the binding constraint on the upside; the gold price is. Anyone who wants that exposure can buy it more cleanly.
-

What could go wrong

This is a pre-mortem for the **reopen entry** described below, not for a position we hold today (we hold none). Three failure narratives, worst first.

Failure 1 — We buy the flush and the flush is information, not noise. Our reopen price band (\$0.55–0.70) is 42–55% below today. Realistically, the only thing that takes a levered single-asset gold producer down 50% is a gold drawdown, an operational failure at Buckreef, or a dilutive raise. In two of those three cases the price band is not a discount — it is the market correctly repricing a permanently smaller business. We fill our ladder, gold keeps falling, and the \$3,500-gold deck value of \$1.13 becomes the *ceiling* rather than the floor. **Tripwire: yes** — gold below \$3,500/oz is a hard disqualifier, and any raise filing (F-3, 424B5, F-10, or a 6-K announcing an offering) cancels the ladder.

Failure 2 — The funding gap closes by issuing stock, repeatedly. The company needs roughly \$45–50M for the expansion (a transcript number, not a filed one), holds \$26.8M of cash, generates negative free cash flow, and has ~\$2.1M of undrawn bank facility. Warrants — which supplied \$19.6M

and 15% share growth in nine months — are extinguished. The base case is an equity raise. Every 15% of dilution takes ~15% off the attributable-per-share math, and it stacks. **Tripwire: yes** — any registration or offering filing. But note the tripwire fires *after* the announcement, and small-cap raises are typically announced overnight at a discount, so the tripwire limits the second loss, not the first.

Failure 3 — Tanzania, and there is no tripwire for it. TRX's 55% share of the mine is a contract with a state-owned partner (STAMICO) inside a jurisdiction whose mining code, royalty regime, export rules, local-content requirements and permitting sit with a government that is also our counterparty. A change to any of them — or a partner decision to reinterpret the waterfall on parent advances, or a local dispute at the mine gate — reaches us **only when the company chooses to file a 6-K about it, which is after the fact.** There is no docket to watch, no scheduled disclosure, no regulator publication we can subscribe to, no third-party data feed. **Unknown-unknown class: no-disclosure-plane counterparty-sovereign risk** — a risk whose native disclosure surface is a foreign government's internal decision-making, which publishes nothing on a schedule we can monitor. A second facet sits in the same class: **single-asset operational blindness.** One pit, one mill. A wall failure, a mill outage, a grade reconciliation miss — as a foreign private issuer filing 6-Ks quarterly rather than 10-Qs, we may not learn for up to three months, and the tape will know before we do. Both facets are *unmonitorable by construction*, not by our neglect, and the honest mitigation is size, not sensors.

The reflexive and structural leg. - We do not know how big we are relative to this stock. The liquidity check failed — the broker contract search was permission-denied, so we have no live quote and **no average daily volume figure at all.** For a \$1.21 stock with a sub-\$400M market value on NYSE American, a 0.5–1.0% book position is plausibly multiple days of volume to build and more to exit. We are proposing a reopen band without knowing whether we can get out of it. That is a stated gap, not an assumption. - **Our own reopen band bids into our own predicted flow.** We have written down that the price only reaches \$0.55–0.70 in a gold flush. In a gold flush, every levered gold junior is being sold by the same holders for the same reason, liquidity in exactly this kind of name evaporates, and our resting ladder is the bid that gets filled first and worst. Our standing rule is not to place a ladder into flow we ourselves forecast. The reopen band therefore must be *manually re-courted when hit*, never left resting. - **Doctrine interaction — this would be gold beta wearing a stock-picking costume.** The upside case resolves almost entirely to the gold price, on a company where we receive 55% of the mine and 34x earnings for the privilege. If we want gold, we should own gold or a funded, wholly-owned producer. Adding TRX would mean paying single-asset, minority-earnings, sovereign-jurisdiction risk to obtain exposure we can buy cleanly elsewhere. - **Doctrine interaction — the “flat needs a named kill” rule is satisfied.** We do not go flat on vibes. The named kill is the consolidation arithmetic, confirmed to the dollar by both benches against the company's own financial statements. This is not a silence being graded as a rejection.

****If this position loses money, the most likely reason will be ____**** that we bought a gold-price drawdown thinking it was a valuation discount, and then got diluted at the bottom by the equity raise the expansion always required.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Screen shows 13x, real business is 5–6x”	Pulled the 6-K financial statements directly and rebuilt enterprise value and EBITDA from the primary filing	The 6x used 100% of the mine’s EBITDA against a market value that owns 55%. Corrected: ~11.5x. The 13.1x screen figure is wrong for a different reason and lands within ~12% of truth	REFUTED — this was our own brief’s error, and it is fatal to the thesis
The \$404M enterprise value in our brief	Reconciled line by line: \$392.42M market cap + \$5.40M debt – \$26.84M cash = \$370.98M; + \$32.82M partner equity = \$403.81M	Our brief reached \$404M only by <i>adding</i> the partner’s book equity to the numerator while keeping 100% of earnings in the denominator. Both halves of the error push the same way	CONFIRMED as our own error
Partner’s share of profit ≈ 45%	Read the cleanest quarter (Q3 FY26, post-warrant, no derivative noise) rather than the nine-month column	Partner took \$5,532k of \$8,371k — 66% — because all head-office cost sits at the parent. Both benches initially missed this; the defending bench found it on re-read. Even a 55%-of-consolidated haircut is ~20 points too generous	CONFIRMED — new finding, harsher than either bench’s first pass
“Significant undrawn credit lines”	Balance sheet, then the borrowings note	Prosecuting bench first called it <i>undisclosed</i> — that was a bench error. It is disclosed and sized: Stanbic Bank Tanzania, \$5.0M facility, \$2.9M drawn, ~\$2.1M undrawn. Not unquantified — quantifiably trivial against a \$45–50M program	CONFIRMED, with a bench correction
“\$45–50M capex, \$10–15M above the study” — the number driving our transmission channel	Searched the vetted 6-K exhibit	Not in the filing. The exhibit says only “letter of award... final contract execution completed in early Q4 2026, initial downpayments made, estimated completion 12–18 months.” The figure exists in transcript and secondary sources only	REFUTED as primary-sourced
Nine-month capital spending \$21,834k	Cash flow statement	Actual \$23,013k. Prosecuting bench mis-transcribed its own supporting number — in the direction that weakened its own case. Corrected free cash flow: –\$2.5M	CONFIRMED, bench arithmetic corrected
“Our brief cited the wrong analyst target (\$2.36)”	Fetches both venues live	Bench error. \$2.36 / Strong Buy is verbatim on stockanalysis today; \$1.70 across 2 analysts is MarketBeat. That is two venues disagreeing, not a citation mistake by us	REFUTED — the accusation, not the number
“Management says joint-venture restructuring talks are advanced” — the prosecuting bench’s sole re-open trigger	Primary and secondary search for 2026 statements	No source found. Only the standing 55/45 structure and reinvestment language. The bench deducted a conviction point for optionality it could not source	NOT CONFIRMED — bench error
Post-expansion production of 60,000 oz/yr	Re-derived from the company’s own release: 3,500 tpd SAG plus upgraded 2,000 tpd,	~77,000 oz, not 60,000. Prosecuting bench used the old study’s 3,000 tpd case. This moves the at-spot funded case from +11% to +41% and the break-	REFUTED — bench error, in the thesis’s favour, and it does not change the verdict

Claim	How checked	Found	Confirmed?
	implied Q3 recovered grade ~1.26 g/t	even for a +50% return from ~\$5,300/oz gold to ~\$4,700/oz	
Cash taxes	Cash flow statement	\$0 paid on nine months. Tanzania's 30% corporate tax is ahead of the run-rate. Every "EBITDA run-rate" citation is before tax, before the partner, before capital spending	CONFIRMED
Share count / dilution	Statement of changes in equity	284,861,895 → 327,474,009 in nine months, +15.0%. The \$19.1M cash build is warrant exercise money (\$19,645k net) plus options (\$1,010k). "Clean structure, no remaining warrants" is true — and is precisely why that funding source is now gone	CONFIRMED
The "partner waterfall" defence (TRX capital loans rank ahead of the 55/45 split)	Sized it from the filing	"Advances from parent, net" of \$21,090k — worth about \$0.06/share . It defers the split; it does not reverse it, and the income statement already books the split every quarter	CONFIRMED as immaterial
Is this a promotional small-cap pattern?	Ran the pattern check deliberately	Clean. Tanzania/Canada, not an offshore shell; audited annual filer; revenue is physically settled gold sold at a disclosed realized price. The pattern matched on jurisdiction alone — a false positive	NOT-FIRED, checked substantively
Tradability at our size	Broker contract search	Failed — permission denied. No live quote, no average daily volume. Stated as a gap, not skipped	NOT CHECKED — open

PROPOSED ENTRY BANDS

Both benches say no entry. There is no immediate buy, no starter, no ladder, and no resting order. What follows are the reopen conditions.

Reopen path A — price. Re-court on a print of: - **\$0.70 or below** — this is 6x our share of EBITDA (\$32M → \$192M enterprise value, +\$21.4M net cash → ~\$213M market value → \$0.65/share; band top set at \$0.70 for slippage). - **\$0.52 or below** — 15x our share of earnings (\$11.4M × 15 = \$171M → \$0.52/share).

That band is 42–57% below today, which is the honest statement that **price alone is not a realistic reopen path**. Critically: **do not leave a resting order at these levels**. They are only reached in a gold flush, which is the exact condition under which the fill is adverse selection and the exit disappears. If hit, re-court manually within one session.

Reopen path B — a filed restructuring of the joint venture. A 6-K that *executes* (not discusses) a move toward an 80/20 or 84/16 non-dilutable-government framework re-rates our share of EBITDA

by roughly 45% overnight. **Re-court immediately at any price up to \$1.75.** Transcript language does not count — and note that the claim this is “advanced” is currently unsourced.

Reopen path C — the FY26 annual report (Form 40-F, expected ~2026-12-01). Re-court if it shows **all** of: operating cash flow $\geq$ \$45M; the ore stockpile *converted*, not grown; cash taxes still nil under a confirmed ruling rather than a timing accident; and a customer-concentration note naming the doré offtake counterparty and refinery.

Reopen path D — the expansion study. Publication of the 3,500 tpd SAG + upgraded 2,000 tpd study (or an updated economic assessment) confirming **$\geq 90,000$ oz steady-state with a funded, non-dilutive capital path.** Even then, the defending bench’s own table says a +50% return needs gold above ~\$4,700/oz.

Sizing, if and only if a path reopens and survives a fresh court: starter of **0.5% of the book, maximum** — half on the trigger, the second half only after a successful live volume pull. **Hard veto on any order at any size until the broker liquidity check succeeds and we can state days-of-average-volume.**

Hard disqualifiers that cancel all four paths: (i) any equity or convertible raise filing; (ii) gold below \$3,500/oz — at which the fully-funded, undiluted deck is worth ~\$1.13/share, below today’s price.

Catalyst dates: - **2026-08-31** — fiscal Q4 and fiscal year end. A period end, **not a print.** No position implication. - **~2026-11-30** — estimated next results release. **UNCONFIRMED** — derived from a data vendor, corroborated only by the issuer’s filing cadence (6-Ks on 2026-01-15, 2026-04-15, 2026-07-15). No company press release names this date. - **~2026-12-01** — expected FY26 Form 40-F, based on last year’s 40-F filed 2025-12-01. **UNCONFIRMED.** This is the single most decision-relevant document on the calendar. - **~2027-07-15 to 2028-01-15** — SAG mill completion window, derived from the company’s own “12–18 months” language against contract execution in early fiscal Q4 2026. **UNCONFIRMED and derived, not stated as a date by the issuer.**

Print proximity: NONE. No results release within five trading days. Pre-print position: flat.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3500.0 (deck-provisional: SPOT GOLD, not TRX — funded deck value falls to ~\$1.13/share, below today’s price; HARD DISQUALIFIER f)
- filing watch: 6-K until 2027-02-20 (deck-provisional: a FILED execution of a STAMICO JV restructuring toward 80/20 or 84/16 — the only single event that re-)
- dated pack TRX|2026-08-31: TRX: fiscal Q4 and fiscal year end (derived from the primary 6-K: Q3 ended May 31, 2026) — a period end, NOT a print (date confirmed=True)

- dated pack TRX|2026-11-30: TRX: estimated FY26 results release — vendor-derived, corroborated only by 6-K cadence 2026-01-15 / 04-15 / 07-15; no company release names
- dated pack TRX|2026-12-01: TRX: expected FY26 Form 40-F (prior 40-F filed 2025-12-01) — the most decision-relevant document on the calendar: OCF, stockpile, cash tax,
- dated pack TRX|2027-07-15: TRX: earliest end of the issuer’s own 12-18 month SAG mill completion window (contract executed early fiscal Q4 2026); window runs to approx

What remains unverified

1. **Tradability.** No live quote, no average daily volume, no bid/ask, no borrow. The broker check was permission-denied. We cannot size this position responsibly today.
 2. **The \$45–50M capital budget.** Transcript and secondary only; absent from the vetted filing, which gives only a letter of award and a 12–18 month completion estimate.
 3. **Post-expansion production.** The 77,000 oz figure is derived from an implied Q3 recovered grade of ~1.26 g/t extrapolated to 5,500 tpd. **No study document has been read.** The 60,000 oz alternative comes from the older 3,000 tpd assessment. The truth could be either, or neither.
 4. **Whether joint-venture restructuring talks exist at all.** The prosecuting bench’s sole reopen trigger cited “advanced talks”; the defending bench found no primary or secondary source for it in 2026.
 5. **The gold doré buyer.** Neither the offtake counterparty nor the refinery is named in anything we have read. Customs shipping data cannot check this — doré exported to a non-US refiner never appears in US bill-of-lading records. The FY26 40-F customer-concentration note is the only instrument that resolves it.
 6. **Tanzanian tax status.** Zero cash tax paid on nine months is a fact; *why* is not established. We do not know whether it is a loss-carryforward shield, a negotiated ruling, or a timing artifact — and the three have very different forward implications.
 7. **Spot gold today.** The benches used \$4,400/oz for the “spot” scenario; the company realized \$4,703/oz in Q3. We did not independently verify the current price, and every scenario in this deck is sensitive to it.
 8. **Buckreef’s actual location coordinates.** Only the Oakville, Ontario head office is geocoded in our data. Any satellite or environmental check would image the wrong asset. Not load-bearing for this thesis, but it means a whole class of physical verification is closed to us.
 9. **The next results date.** Vendor-derived. No company statement confirms 2026-11-30.
-

```
{"price_gates": [{"level": 0.70, "direction": "below", "basis": "TRX – 6x  
our share of EBITDA (~$32M) plus $21.4M net cash; reopen re-court  
only, MANUAL, no resting order (only reached in a gold flush)"},  
{"level": 0.52, "direction": "below", "basis": "TRX – 15x  
attributable earnings ($11.4M annualized from the clean Q3  
allocation); deep-value re-court, MANUAL"}, {"level": 1.97,  
"direction": "above", "basis": "TRX – 26-week high; a re-rate to  
here with no filed JV restructuring implies ~55x attributable  
earnings, re-court as avoid/short-screen, NOT entry"}, {"level":  
4700.0, "direction": "below", "basis": "SPOT GOLD, not TRX – below  
$4,700/oz even the fully funded 77koz no-dilution deck fails to  
clear +50%; stay flat"}, {"level": 3500.0, "direction": "below",  
"basis": "SPOT GOLD, not TRX – funded deck value falls to  
~$1.13/share, below today's price; HARD DISQUALIFIER for every  
reopen path"}], "event_gates": [{"forms": ["6-K"], "why": "a FILED  
execution of a STAMICO JV restructuring toward 80/20 or 84/16 – the  
only single event that re-rates attributable EBITDA ~45% overnight;  
transcript talk does not count and is currently unsourced"},  
{"forms": ["40-F"], "why": "FY26 annual: operating cash flow >=  
$45M, ore stockpile converted not grown, cash taxes still nil under  
a confirmed shield, and the customer-concentration note naming the  
dore offtake counterparty and refinery"}, {"forms": ["F-3", "424B5",  
"F-10", "6-K"], "why": "any equity or convertible raise – warrants  
are extinguished, undrawn bank facility is ~$2.1M against a $45-50M  
program; a raise is the base-case dilution event and a hard reopen  
disqualifier"}, {"forms": ["6-K"], "why": "publication of the 3,500  
tpd SAG plus upgraded 2,000 tpd technical study or an updated  
PEA/PFS with steady-state ounces, capex and a stated funding path"},  
{"forms": ["SD"], "why": "thin, but one of the few scheduled windows  
in which a Tanzania-jurisdiction or partner issue can surface on a  
known date"}], "catalyst_dates": [{"date": "2026-08-31", "what":  
"fiscal Q4 and fiscal year end (derived from the primary 6-K: Q3  
ended May 31, 2026) – a period end, NOT a print", "confirmed":  
true}, {"date": "2026-11-30", "what": "estimated FY26 results  
release – vendor-derived, corroborated only by 6-K cadence 2026-01-  
15 / 04-15 / 07-15; no company release names it", "confirmed":  
false}, {"date": "2026-12-01", "what": "expected FY26 Form 40-F  
(prior 40-F filed 2025-12-01) – the most decision-relevant document  
on the calendar: OCF, stockpile, cash tax, customer concentration",  
"confirmed": false}, {"date": "2027-07-15", "what": "earliest end of  
the issuer's own 12-18 month SAG mill completion window (contract  
executed early fiscal Q4 2026); window runs to approximately 2028-  
01-15 – derived, not an issuer-stated date", "confirmed": false}],  
"immediate_entry": null}
```